

Decision-making guide

Accounting

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1. Simulation platform introduction

1.1 Game Arena

The gaming arena interface comprises various decision tabs that includes decision areas such as Memo, Information, Accounts, Evaluation and Reports. Some sections must be completed first as they have an impact on other areas.

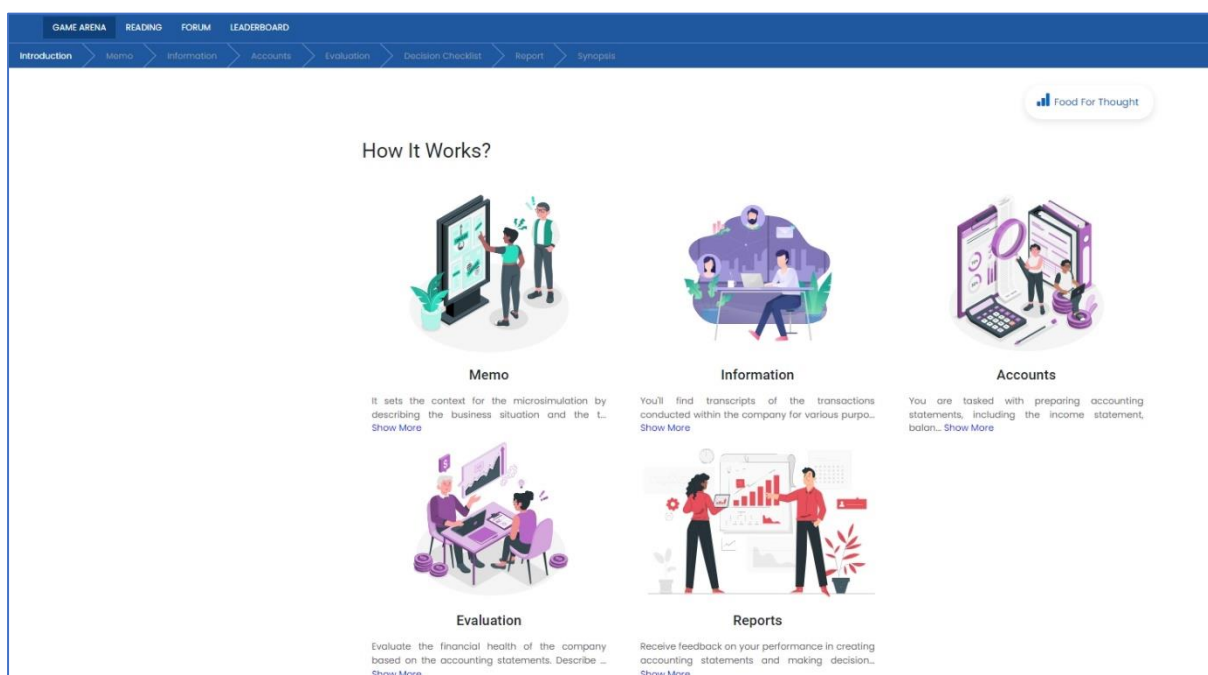


Figure 1 The Gaming Arena

1.2 Readings

This section provides essential materials necessary for participants to actively engage in the game. The main reading material consists of a guide for decision-making, supplemented by optional additional resources chosen by instructors. Moreover, a walkthrough video is accessible, offering in-depth information about the scenario featured in the simulation. This video presents insights into the case scenario, market outlook and the diverse array of decisions required.

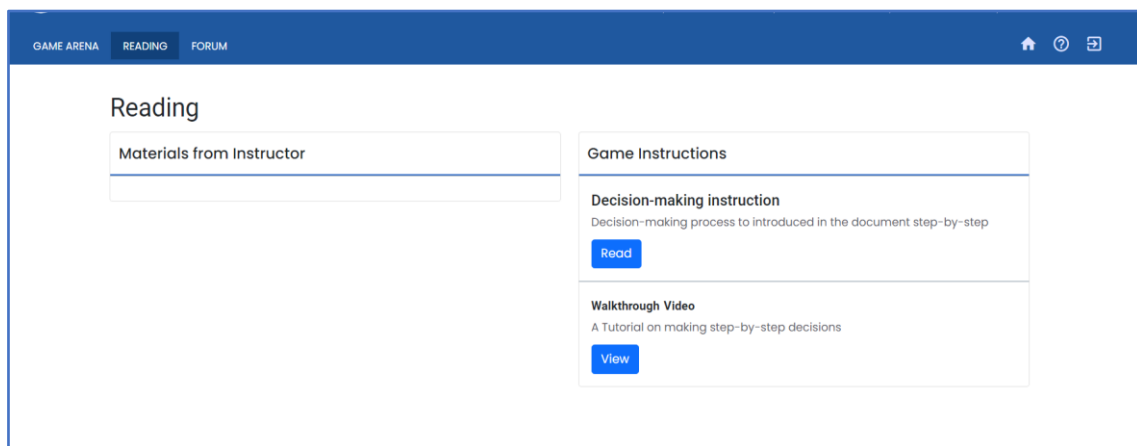


Figure 2 The Reading Section

1.3 Forum

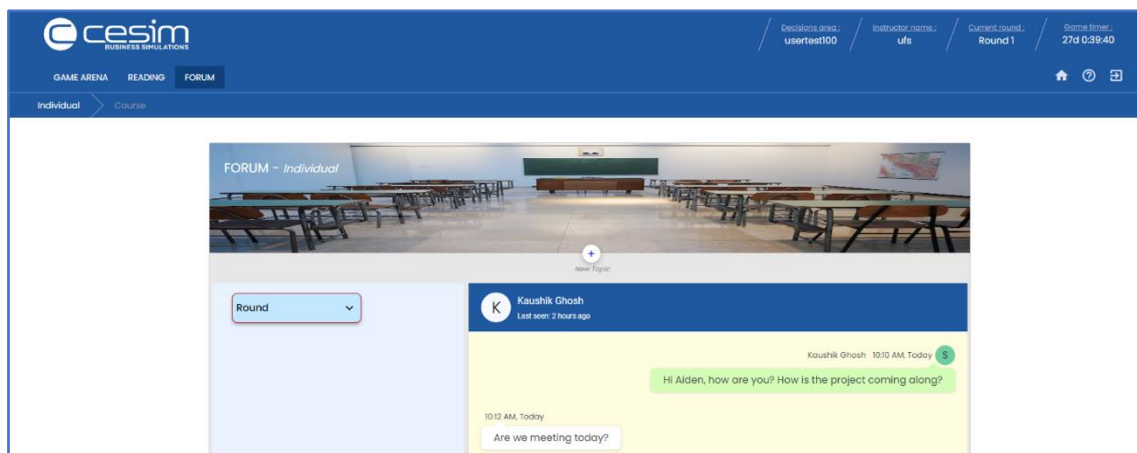


Figure 3 The Forum Section

- The forums provide an excellent platform for participants to engage with their instructors or peers.
- There are two separate forums: the Individual Forum and the Course Forum. The Individual Forum allows participants to communicate directly with the instructor, while the Course Forum is accessible to all enrolled players.
- Instructors can view and respond to posts in both sections. Consequently, the Course Forum is an appropriate space for asking questions that can benefit the entire course, while the Individual Forum is the preferred channel for the individual to have a direct discussion with the professor.
- Participants will receive notifications for messages.

1.4 Main Objective & Winning Criteria

Mr. Raj's newly started paper manufacturing company is experiencing financial discrepancies between his diligent daily ledger recordings and the bank statements, indicating potential financial issues. An advisor identified key challenges: incomplete ledger entries, unclear cash flow management causing negative cash flow periods, and mingling of personal and business expenses. To address these, the advisor suggested hiring a manager to improve financial clarity across various functions. As the appointed Senior Manager, the tasks involve preparing comprehensive financial statements to aid in informed decision-making for the company's financial health and growth.

1.5 Successful decision-making flow

The sequence of decision-making unfolds as follows:

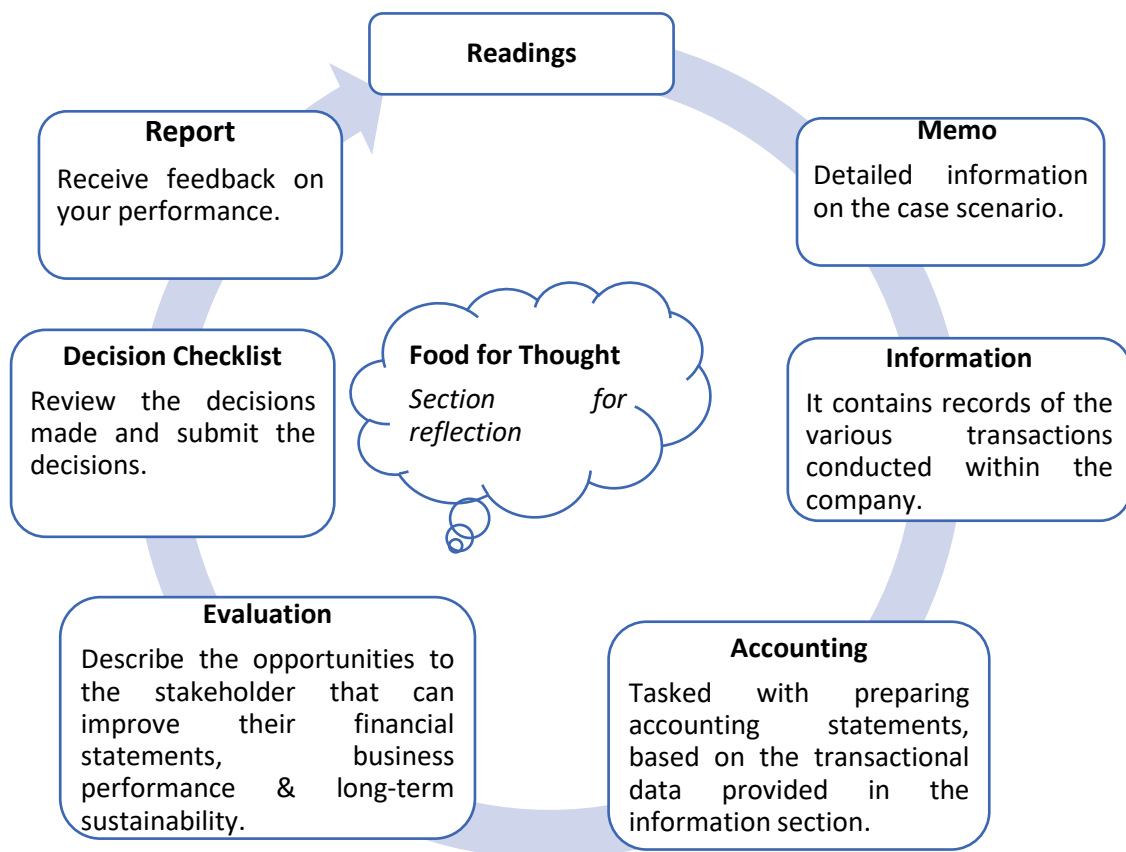


Figure 4 The Sequence of Decision-Making Process

2. Game Arena

2.1 Introduction

This page encompasses information detailing the functioning of the simulation and provides insights into each tab's decision-making.

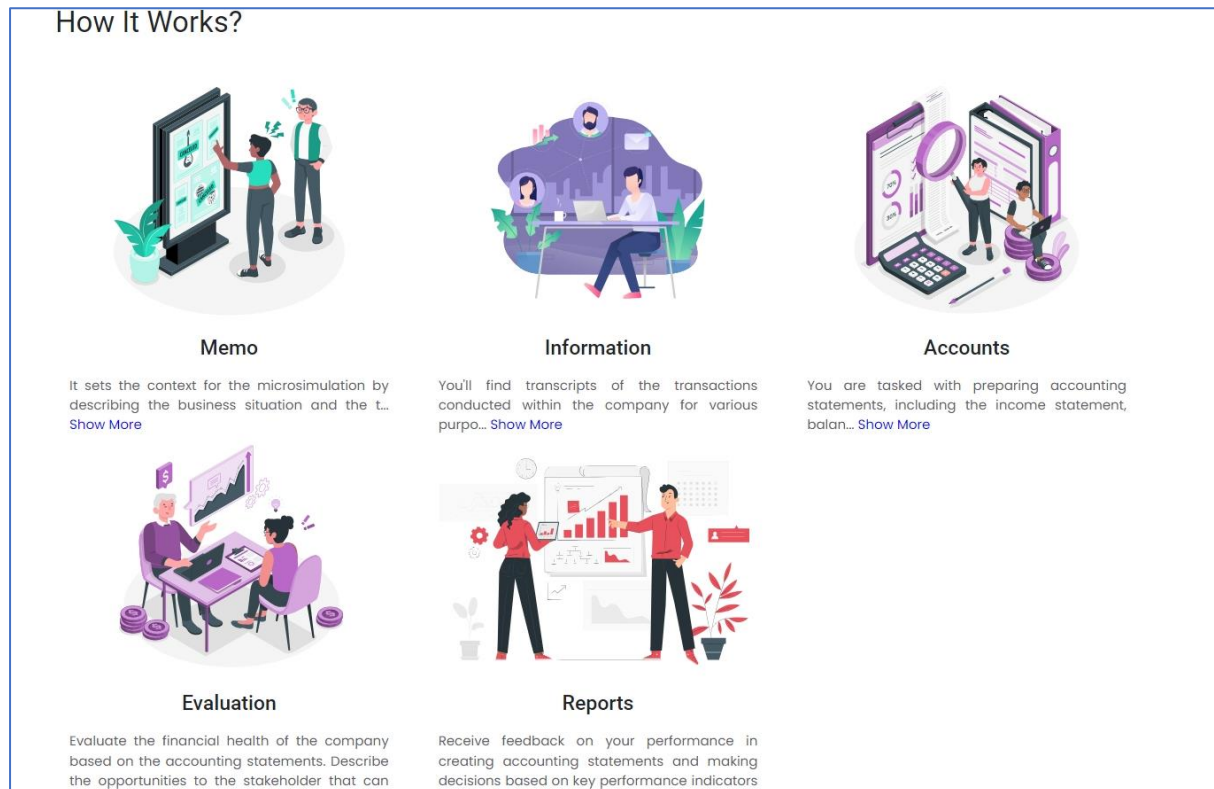


Figure 5 The Introduction Tab

2.2 Food for Thought

This segment provides crucial aspects to consider, offering valuable insights for decision-making.

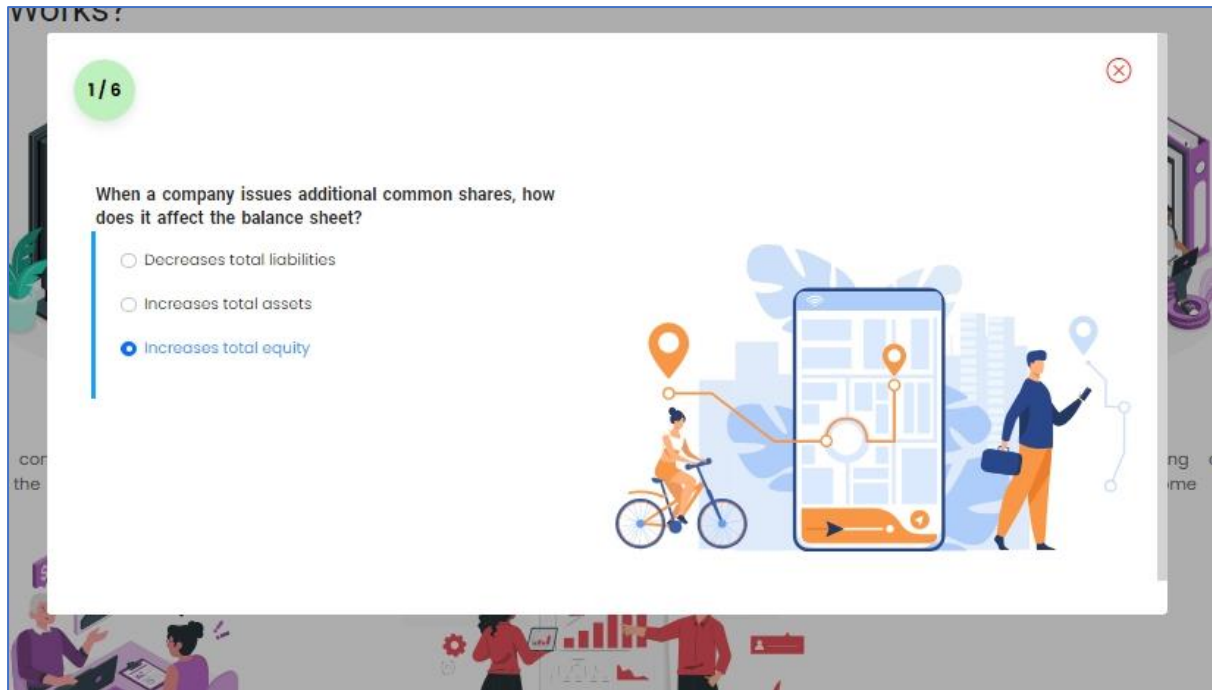


Figure 6 The food for Thought Section

2.3 Memo

Prior to commencing the decision-making process, it is essential to carefully examine the "Memo" section. This section offers vital information on case scenario, role of the participant and the key factors to consider when making decisions in each tab.



Figure 7 The Memo Tab

2.4 Information

The information tab offers a detailed record of the company's financial transactions, encompassing sales, purchases, expenses, as well as insights into funds raised, share issuance, and loans. It also outlines strategic investment decisions made by the company. Furthermore, the tab addresses the challenges faced and the solutions implemented to overcome them.

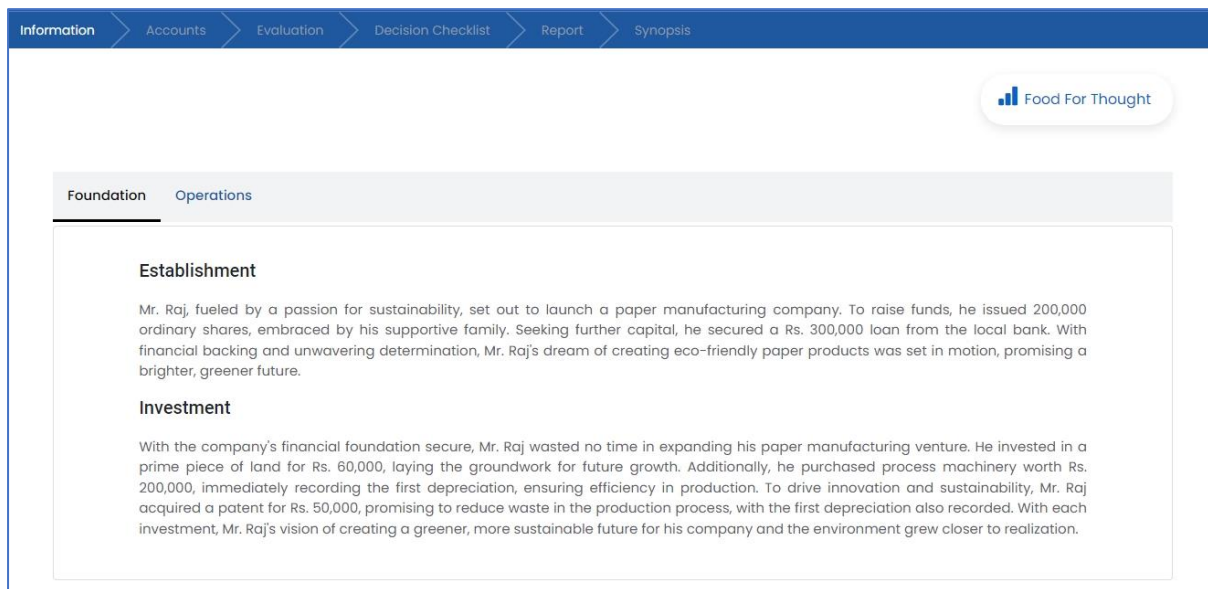


Figure 8 The information section under the Game Arena

Thorough review of this content is essential for participants to make well-informed decisions, as it provides a comprehensive overview of the company's financial activities and strategic initiatives.

2.5 Accounts

On the accounts tab, the participant will begin preparing the financial statements. Using the detailed transaction data available in the information section, participants will start with the preparation of the Balance Sheet, followed by the Income Statement, and then the Cash Flow Statement.

Balance Sheet, INR



Assets		Liabilities	
Current assets		Current liabilities	
Cash	0	Accounts payable	0
Accounts receivable	0	Accrued expenses	0
Inventory	0	Unearned revenue	0
Prepaid expenses	0	Notes, short-term	0
Other current assets	0	Current part of long-term debt	0
Total current assets	0	Total current liabilities	0

Other assets		Shareholder's Equity	
Other assets		Other assets	
Intangible assets	0	Invested capital	200000
Goodwill	0	Retained earnings - beginning	0
Deposits	0	Retained earnings - current	0
Other assets	0	Total equity	200000
Total other assets	0	Total liabilities & equity	500000
Total assets	260000		

Income Statement, INR		Income Statement, INR	
Revenue		Revenue	
Revenue	400000	Revenue	400000
Cost of good sold	0	Gross Profit	400000
Gross Profit	400000	EBITDA	400000
Operating Expense & Overhead		EBIT	400000
Sales cost	0	PBT	400000
		PAT	400000

Figure 9 Financial statement preparation in the Game Arena

2.6 Evaluation

In the evaluation tab, participants can recommend the best opportunities to improve the company's financial situation in the coming years. They may consider the various strategies among the choices including debt restructuring, introducing a new production line, investing in training and development, and enhancing cash flow through leasing, etc.

By analysing the implications of these choices, including the benefits, investment cost, and the long-term impact of each option, participants can identify the most effective strategies for the round. Options that demonstrate high value creation are more likely to receive approval from management.

Evaluation
Decision Checklist
Report
Synopsis



Opportunities, Balance Sheet ⓘ



Investment in Research and Development

By investing in R&D, the company can develop new products and technologies, opening up new revenue streams and ensuring long-term sustainability.

Benefit : Increase in intangible assets by Rs. 100,000 per annum.

Long-term Impact : Increases intangible assets, such as patents and intellectual property, improving company valuation.

Investment per annum, INR 50000



Expansion of Manufacturing Facilities

By expanding manufacturing facilities, the company can meet growing demand, reduce production bottlenecks, and capitalize on economies of scale.

Benefit : Increases production capacity and efficiency. Increase in fixed assets by Rs. 500,000.

Long-term Impact : Boosts fixed assets, such as machinery and equipment, supporting future growth.

Investment per annum, INR 200000



Debt Restructuring

By renegotiating debt terms or consolidating high-interest loans, the company can lower its overall cost of debt and strengthen its balance sheet.

Benefit : Reduction in interest expenses by Rs. 40,000 per annum.

Long-term Impact : Lowers debt servicing burden, freeing up cash flow for investment or dividends.

Investment per annum, INR 30000

Figure 10 The Opportunities decision Area in the Game Arena

2.7 Decision checklist

The Decision Checklist helps participants review and adjust their decisions before the deadline. Once decisions are finalized, participants can submit them using the Submit option if they choose to proceed with the Decision Checklist. The Decision Checklist helps participants review and finalize their decisions. Once decisions are confirmed, they can submit them using the "Submit" option and choose [save and proceed](#). It's important to remember that once decisions are submitted and saved, they cannot be changed for that round. This ensures that decisions are carefully considered before finalization, promoting clarity and accountability in the decision-making process.

Income Statement	
Revenue	400000
Cost of good sold	0
Sales cost	0
Administration cost	0
Bad debts	0
Depreciation & Amortization	0
Interest Expense	0
Tax	0
Cash Flow Statement	
Opening balance	0
Operations, Cash In	0
Operations, Cash Out	0
Investment, Cash In	0
Investment, Cash Out	0
Financing, Cash In	0
Financing, Cash Out	0
Opportunities	
Investment in Research and Development	Not Suggested
Expansion of Manufacturing Facilities	Not Suggested
Debt Restructuring	Not Suggested
Cost Reduction Initiatives	Not Suggested
Introduction of Premium Product Line	Not Suggested
Employee Training and Development	Not Suggested
Working Capital Optimization	Not Suggested
Equipment Lease Financing	Not Suggested
Exploring Export Opportunities	Not Suggested
Submit	

Figure 11 The Decision Checklist

2.8 Report

The report section provides the details on the participants' critical thinking abilities in each aspect. It demonstrates how their thought process influenced the outcomes, providing insights into the impact of their decision-making skills.

This section consists of feedback on the performance of the participant based on four metrics.

- Rigour: Consistency throughout the decision-making and recommendation.
- Structuring: Logical approach of gathering and analysing information
- Synthesis: Approach towards interpreting information and making informed decisions
- Business Judgement: Ability to evaluate facts, and consider risks and possible implications when making decisions.

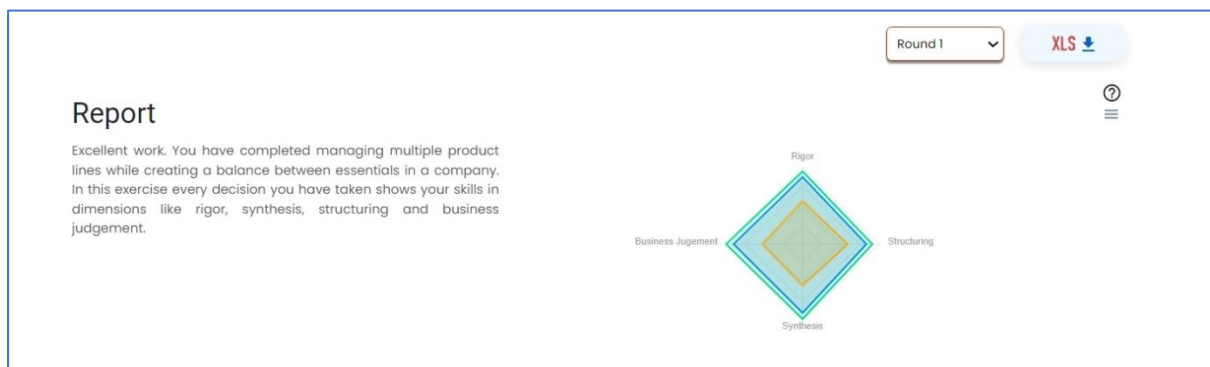


Figure 12 The Report Section

The Scores

The scores section displays the participant's scores based on the accuracy and completeness of their financial statements.

Opportunities

In this section, participants can review the opportunities and choices they made, along with the likelihood of management approval. It highlights the value created from these decisions over one year and three years.

KPI

In the KPI (key performance indicators) section, participants will find the total score for their financial statement preparation, as well as the final value creation for the current year and the three-year period. This information reflects the company's financial direction.

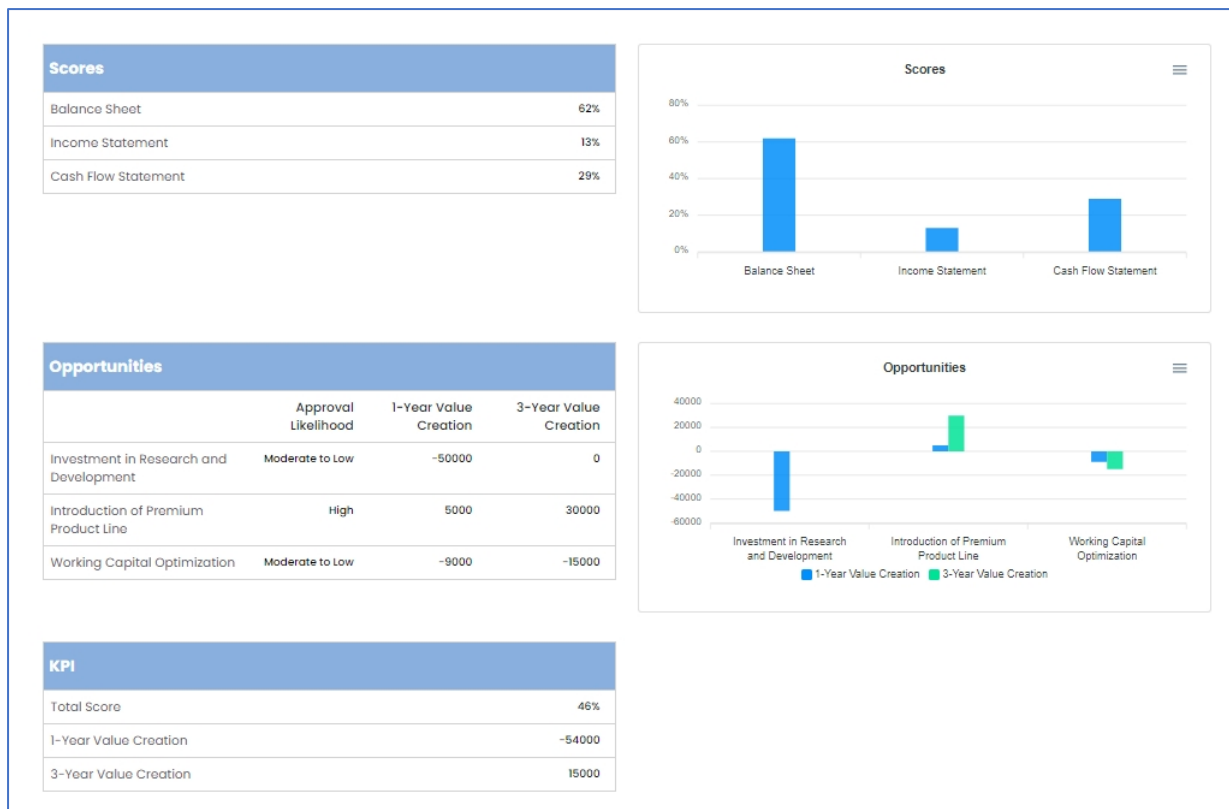


Figure 13 The Report Section

2.9 Synopsis

The synopsis section offers a concise summary of key decision areas and outcomes, highlighting critical insights including the KPI achieved and strategic directions taken during the simulation, facilitating comprehensive understanding and future planning.

Round 1

XLS

Synopsis

Decisions	
Parameters	Input
Balance Sheet	
Cash	200000
Accounts receivable	-
Inventory	-
Prepaid expenses	-
Other current assets	-
Machinery & equipment	-
Furniture & fixtures	-
Leasehold improvements	-
Land & buildings	-
Other fixed assets	-
Intangible assetss	-
Goodwill	-
Deposits	-
Other assets	-
Accounts payable	-
Accrued expenses	-
Unearned revenue	-
Notes, short-term	-
Current part of long-term debt	-
Bank loans payable	-
Notes payable to stockholders	-
LESS: Short-term portion	-
Other long term debt	-
Invested capital	-

Scores			
Parameters	Output		
Balance Sheet	62%		
Income Statement	13%		
Cash Flow Statement	29%		
KPI			
Total Score	46%		
1-Year Value Creation	-54000		
3-Year Value Creation	15000		
Investment			
Parameters	Approval Likelihood	1-Year Value Creation	3-Year Value Creation
Expansion of Manufacturing Facilities	Moderate to Low	-50000	-
Cost Reduction Initiatives	High	5000	30000
Equipment Lease Financing	Moderate to Low	-9000	-15000
Thinking Ability			
Parameters	Score		
Accounts	83%		

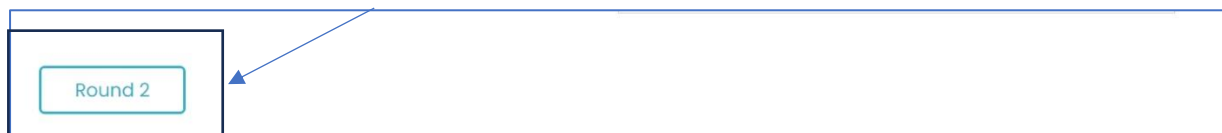


Figure 14 The Synopsis

To proceed to the next round, click on the “next round” at the bottom of the synopsis section. This will redirect participants to the home page, where they can access the next round by clicking on the corresponding card.